

Multiple Choice

1. **Answer:** B

Options: A) cannot earn economic profits; B) are interdependent; C) are not subject to antitrust legislation; D) are large in number

Note: In an oligopoly market, firms are interdependent because the actions and pricing strategies of one firm directly influence the decisions of other firms in the market, leading to strategic behavior and mutual consideration of competitors' responses.

2. **Answer:** A

Options: A) equilibrium quantity rises, but the price change is ambiguous.; B) equilibrium quantity falls, but the price change is ambiguous.; C) equilibrium quantity rises, and the price rises.; D) equilibrium quantity falls, and the price falls.

Note: The correct answer is based on the economic principle that an increase in demand leads to a higher equilibrium price and quantity, while an increase in supply tends to lower the price and increase the quantity, resulting in an ambiguous effect on price but a certain increase in the equilibrium quantity.

3. **Answer:** B

Options: A) stagflation.; B) an advance in technology.; C) an increase in government spending.; D) a decrease in government spending.

Note: An advance in technology can lead to increased productivity, which enhances the supply of goods and services, causing prices to fall while real GDP rises.

4. **Answer:** B

Options: A) Decreases aggregate demand so that the price level falls.; B) Increases aggregate demand which increases real GDP and increases employment.; C) Increases unemployment but low prices negate this effect.; D) It keeps interest rates high which attracts foreign investment.

Note: Expansionary monetary policy lowers interest rates, encouraging borrowing and spending, which boosts aggregate demand, leading to higher real GDP and increased employment during a recession.

5. **Answer:** A

Options: A) a leftward shift in the aggregate supply curve.; B) a leftward shift in the aggregate demand curve.; C) a leftward shift in both the aggregate supply and aggregate demand curves.; D) a rightward shift in the aggregate supply curve.

Note: A leftward shift in the aggregate supply curve indicates a decrease in the total supply of goods and services in the economy, leading to rising prices (inflation) and reduced economic output, which characterizes stagflation.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: Structural unemployment arises when technological advancements, such as self-serve stations replacing grocery checkers, lead to a mismatch between the skills of the workforce and the available jobs, resulting in unemployment for those whose jobs have become obsolete.

7. **Answer:** True

Options: A) True; B) False

Note: A national program of child immunization enhances public health by reducing illness and mortality rates, which in turn leads to a healthier workforce and increased productivity, thereby permanently raising the nation's productive capacity.

8. **Answer:** True

Options: A) True; B) False

Note: Opportunity cost is defined as the value of the next best alternative that is forgone when making a choice, which emphasizes that pursuing one option inherently means giving up another.

9. **Answer:** True

Options: A) True; B) False

Note: Pirated DVDs are illegal transactions that do not contribute to the official economy, while social security benefits are transfer payments that do not reflect production of goods or services, both of which are excluded from Gross Domestic Product (GDP) calculations.

10. **Answer:** False

Options: A) True; B) False

Note: A perfectly competitive firm can earn either economic profits or losses in the short run, depending on market conditions and its cost structure, rather than always earning a normal profit.

Long Form Response

11. **Answer:** Rising price levels, or inflation, significantly impact individuals with fixed money incomes, such as retirees or those on a set salary. These individuals receive the same amount of money regardless of price increases in goods and services. As prices rise, their purchasing power decreases, meaning they can buy less with the same amount of money. This situation creates challenges, as their essential expenses, like food, housing, and healthcare, become harder to afford. Consequently, people with fixed incomes often struggle to maintain their standard of living during periods of inflation, making them particularly vulnerable in such economic conditions.

Note: correct because it highlights that individuals with fixed money incomes experience a decline in purchasing power during inflation, making it increasingly difficult for them to afford essential goods and services as prices rise.

12. **Answer:** Oligopoly is a market structure characterized by a small number of firms that dominate the market, leading to interdependent decision-making regarding pricing and output. In this scenario, firms often engage in strategic behavior, such as collusion or price wars, to maintain their market position. The condition $P = MC$, which states that price equals marginal cost, typically does not apply in an oligopoly because firms have significant market power and can set prices above marginal cost to maximize profits. This ability to influence prices arises from the limited competition and the strategic interactions between the few firms, resulting in higher prices and lower output compared to more competitive market structures.

Note: correct because it accurately identifies the defining features of oligopoly, including the influence of a few dominant firms on pricing and output decisions, and it explains that the market power these firms possess allows them to set prices above marginal cost, thus violating the condition $P = MC$.